Tata Consultancy Services Ltd

NSE: TCS.NS | IT Services | Price as of 09 Nov 2026

CMP	TARGET PRICE	UPSIDE/DOWNSIDE	RATING
₹2,475	₹2,536	+2.5%	NEUTRAL

INVESTMENT THESIS

Tata Consultancy Services Ltd (TCS.NS) is a tier-1 Indian IT services exporter with a diversified BFSI, retail and manufacturing client base. Between FY23 and FY26 revenue compounded at 5.1% to ₹2,62,000 Cr and PAT at 5.3% to ₹49,200 Cr, with EBITDA margin expanding 50 bps to 26.8%. The record points to a mature, low-growth profile; our forecasts fade growth from 6.0% toward 5.0% over five years.

RoIC of 78.3% against a 11.7% WACC implies a value-creating spread of 66.6 pp, RoE is 51.0%, FCF conversion is 93% of PAT and the balance sheet carries net cash of ₹37,700 Cr. A Piotroski F-Score of 6/9 signals adequate fundamental momentum and an Altman Z of 11.40 places the company in the safe zone.

We rate Tata Consultancy Services Ltd NEUTRAL with a target price of ₹2,536, +2.5% versus the current ₹2,475, and see the risk-reward as balanced. Our five-year DCF (WACC 11.7%, terminal growth 5.0%) values the equity at ₹2,235 per share, while NSE peer medians imply ₹2,837. At 18.2x earnings the stock trades at a discount of 16% to the peer median of 21.7x. Terminal value is 74% of enterprise value, so the call is sensitive to long-run assumptions.

BULL CASE	BEAR CASE
₹3,046 per share (+23% vs CMP). WACC 100 bps lower, terminal growth 100 bps higher and deal-win conversion accelerates as GenAI-led modernisation budgets scale, lifting utilisation and pricing.	₹1,795 per share (-27% vs CMP). WACC 100 bps higher, terminal growth 100 bps lower and discretionary tech spend stays muted and AI-driven productivity is passed through to clients as price deflation.

KEY CATALYSTS

- Large-deal TCV announcements and book-to-bill above 1.2x
- Recovery in BFSI and hi-tech discretionary spend
- Margin levers: pyramid rationalisation, utilisation and lower sub-contracting
- INR depreciation of 5.9% over 12 months flowing through to export realisations

Key market & valuation data	
Market cap	₹8,95,600 Cr
52W high / low	₹3,168 / ₹2,147
Beta (vs NIFTY 50)	0.78
Shares / free float	361.8 Cr / 28%
WACC	11.7%
Implied EV/EBITDA (DCF)	11.0x
P/E (latest FY)	18.2x
P/B	9.1x
RoE	51.0%
Dividend yield	4.9%
USD/INR beta (2Y)	0.13
1Y return vs NIFTY 50	-17.0% / -2.1%

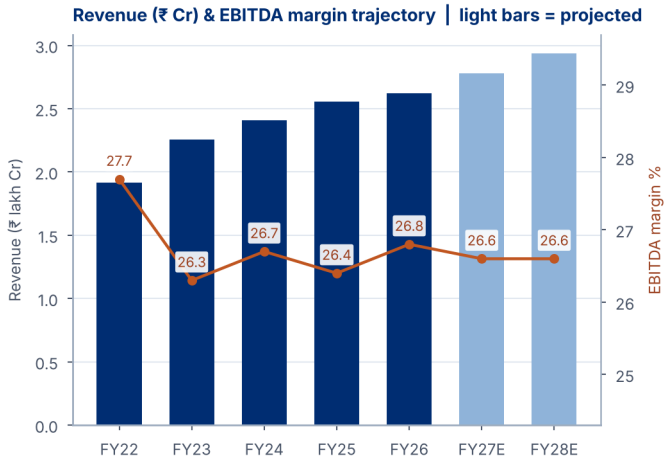
Quality scorecard	
RoIC	78.3%
FCF conversion (FCF/PAT)	93%
Piotroski F-Score	6 / 9
Altman Z-Score	11.40 (Safe)
3Y revenue / PAT CAGR	5.1% / 5.3%

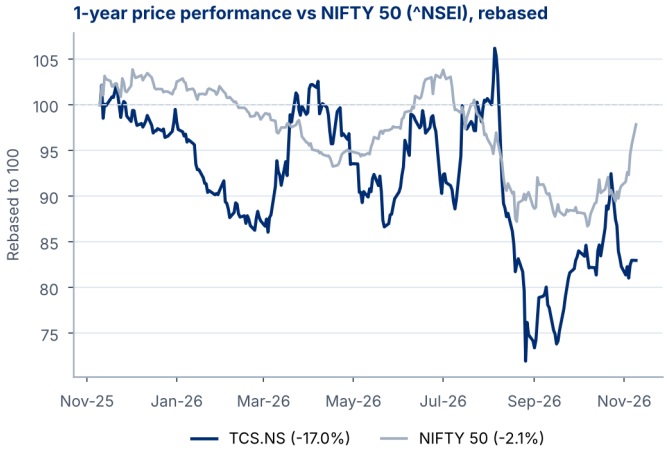
Target price basis: 50% intrinsic value + 50% peer-relative value. Rating scale: BUY above +15% upside, NEUTRAL −10% to +15%, SELL below −10%.

FINANCIAL SUMMARY & PROJECTIONS (₹ CR)

₹ Cr (FY end as labelled)	FY23	FY24	FY25	FY26	FY27E	FY28E
Revenue	**2,25,458**	**2,40,893**	**2,55,324**	**2,62,000**	**2,77,720**	**2,93,828**
YoY growth %	17.6%	6.8%	6.0%	2.6%	6.0%	5.8%
EBITDA	59,295	64,318	67,406	70,216	73,874	78,158
EBITDA margin %	26.3%	26.7%	26.4%	26.8%	26.6%	26.6%
PAT	**42,147**	**45,908**	**48,553**	**49,200**	**51,574**	**54,406**
PAT margin %	18.7%	19.1%	19.0%	18.8%	18.6%	18.5%
EPS (₹)	116.5	126.9	134.2	136.0	142.5	150.4
FCF	40,401	44,439	47,914	45,719	50,604	53,539
RoE %	46.9%	50.8%	52.4%	51.0%	51.3%	51.4%
Net debt (net cash if negative)	-35,075	-34,829	-36,417	-37,700	-41,888	-46,462
Net debt / EBITDA	-0.6x	-0.5x	-0.5x	-0.5x	-0.6x	-0.6x

E = model projection consistent with the valuation growth path.





DCF VALUATION BRIDGE & ASSUMPTIONS

Assumptions & valuation bridge	
Method	5-Year FCFF DCF
Risk-free rate (10Y G-Sec)	6.85%
Equity risk premium	6.25%
Beta (Blume-adjusted)	0.78
Cost of equity (CAPM)	11.73%
Post-tax cost of debt	6.08%
Equity / debt weight	99% / 1%
WACC	**11.68%**
Normalised base FCF	₹47,740 Cr
Growth: year 1 → terminal	6.0% → 5.0%
PV of 5Y explicit FCF	₹2,03,241 Cr
(+) PV of terminal value	₹5,67,694 Cr
Enterprise value	**₹7,70,934 Cr**
(−) Net debt	-₹37,700 Cr
Equity value	**₹8,08,634 Cr**
Diluted shares (Cr)	361.8
Intrinsic value per share	**₹2,235**
Upside / downside vs CMP	-9.7%

SENSITIVITY: WACC VS TERMINAL GROWTH (₹ / SHARE)

WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
10.7%	₹2,306	₹2,446	₹2,611	₹2,808	₹3,046
11.2%	₹2,152	₹2,270	₹2,408	₹2,570	₹2,763
11.7%	₹2,018	₹2,119	**₹2,235**	₹2,370	₹2,529
12.2%	₹1,900	₹1,987	₹2,086	₹2,200	₹2,333
12.7%	₹1,795	₹1,871	₹1,957	₹2,054	₹2,167

Base case highlighted. Green = above current price, red = below.

Target price derivation	₹ / share	Weight
5-Year FCFF DCF	₹2,235	50%
Peer-relative (P/E, EV/EBITDA)	₹2,837	50%
Target price	**₹2,536**	**NEUTRAL**
Current market price	₹2,475	+2.5%

NSE SECTOR PEER COMPARISON

Company	MCap (₹ Cr)	P/E	EV/EBITDA	P/B	RoE %	3Y PAT CAGR
Tata Consultancy Services (TCS.NS)	8,95,600	18.2x	12.2x	9.1x	51.0%	5.3%
Infosys (INFY.NS)	4,78,952	17.0x	10.8x	5.2x	30.0%	5.4%
HCL Technologies (HCLTECH.NS)	3,81,860	21.7x	13.5x	5.4x	25.0%	5.8%
Wipro (WIPRO.NS)	2,08,353	15.7x	9.4x	2.4x	15.8%	5.4%
Tech Mahindra (TECHM.NS)	1,76,710	33.3x	19.7x	6.3x	19.1%	3.1%
LTIMindtree (LTM.NS)	1,27,819	24.1x	16.1x	5.0x	22.0%	6.3%
Sector Median (peers)	—	**21.7x**	**13.5x**	**5.2x**	**22.0%**	**5.4%**

Multiples use the latest reported fiscal year and current prices; the first row is the subject company; the median is taken across peers only.

VALUATION COMMENTARY

The DCF starts from 3Y average FCF margin (18.2%) × latest revenue (₹47,740 Cr) and fades growth linearly from 6.0% to the 5.0% terminal rate. WACC of 11.7% blends a 11.7% cost of equity (beta 0.78) at 99% weight with a 6.1% post-tax cost of debt. Applying peer-median P/E, EV/EBITDA to the company's own earnings base gives ₹2,837 per share. The target price of ₹2,536 reflects 50% intrinsic value + 50% peer-relative value.

5-STEP DUPONT ROE DECOMPOSITION

Component	FY22	FY23	FY24	FY25	FY26
Tax Burden (PAT/PBT)	0.74x	0.75x	0.74x	0.75x	0.74x
Interest Burden (PBT/EBIT)	1.09x	1.08x	1.08x	1.09x	1.06x
EBIT Margin (EBIT/Revenue)	24.7%	23.3%	23.7%	23.4%	23.8%
Asset Turnover (Revenue/Avg Assets)	1.34x	1.53x	1.56x	1.59x	1.56x
Financial Leverage (Avg Assets/Avg Equity)	1.60x	1.65x	1.71x	1.74x	1.74x
= Return on Equity	**43.0%**	**46.9%**	**50.8%**	**52.4%**	**51.0%**

Analyst interpretation: RoE moved from 43.0% in FY22 to 51.0% in FY26. The dominant driver was asset turnover (1.34x to 1.56x, adding to RoE), followed by financial leverage (1.60x to 1.74x). Financial leverage of 1.74x indicates returns are predominantly operationally earned, and an interest burden of 1.06x shows negligible drag from financing costs.

FORENSIC QUALITY: PIOTROSKI F-SCORE & ALTMAN Z-SCORE

Piotroski F-Score: 6 / 9 (FY26)	Result	Evidence
ROA > 0	Pass	ROA 28.91%
Operating cash flow > 0	Pass	CFO ₹52,404 Cr
ROA improved YoY	Fail	29.42% → 28.91%
Accruals: CFO/Assets > ROA	Pass	CFO/TA 30.79% vs ROA 28.91%
Long-term leverage lower YoY	Pass	LTD/TA 3.83% → 3.83%
Current ratio improved YoY	Fail	2.40x → 2.40x
No equity dilution	Pass	361.8 Cr → 361.8 Cr shares
Gross margin improved YoY	Pass	31.62% → 32.02%
Asset turnover improved YoY	Fail	1.547x → 1.540x

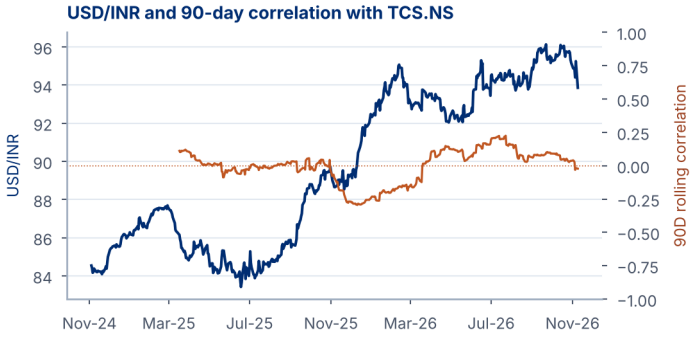
Altman Z-Score: 11.40 (Safe)	
X1 Working Capital / Total Assets	0.431
X2 Retained Earnings / Total Assets	0.489
X3 EBIT / Total Assets	0.366
X4 Market Cap / Total Liabilities	12.408
X5 Revenue / Total Assets	1.540
Z''-EM (book-value variant)	11.56

Applicable: non-financial listed company. Z > 2.99 safe, 1.81–2.99 grey zone, < 1.81 distress. Z''-EM (book-value, sector-neutral) > 5.85 safe, < 4.15 distress.

INR CURRENCY MACRO SENSITIVITY

Pair	Last	1Y change	52W range
USD/INR	93.86	+5.9%	88.54 – 96.13
EUR/INR	104.77	+2.2%	103.49 – 109.29
GBP/INR	125.61	+7.7%	116.05 – 131.68

TCS.NS sensitivity to USD/INR	
FX beta (2Y daily)	0.13
FX beta, NIFTY-neutral	0.63
t-statistic (NIFTY-neutral)	2.8
90-day rolling correlation	-0.02
INR depreciation: sector effect	Tailwind



USD/INR is at 93.86; the rupee has depreciated 5.9% against the dollar over 12 months. Tata Consultancy Services Ltd's two-year FX beta to USD/INR is 0.13 (NIFTY-neutral 0.63, t-stat 2.8, statistically significant) and the latest 90-day rolling correlation is -0.02. Structurally, INR depreciation is an earnings tailwind for the sector given USD/EUR/GBP-billed export revenue against a largely INR cost base. Price behaviour corroborates this: the stock tends to outperform the NIFTY 50 on days the rupee weakens.

KEY RISKS

- Client budget cuts in the US and Europe
- Pricing deflation from GenAI productivity gains
- Wage inflation and attrition
- US visa / outsourcing regulation
- Valuation: 74% of enterprise value sits in the terminal value; a 50 bps change in WACC or terminal growth moves fair value materially (see sensitivity matrix)

DISCLOSURES

Methodology and disclosures. This note was generated algorithmically by an open-source research engine using the bundled offline demo dataset; prices as of 09 Nov 2026. Narrative engine: Deterministic NLG engine. Valuation: five-year FCFF DCF (excess-return model for banks) with CAPM cost of equity, India 10-year G-Sec risk-free rate, India equity risk premium and Section 115BAA tax rate; target price blends intrinsic and peer-relative value. Projections are mechanical extrapolations, not management guidance or consensus. The offline dataset contains approximate financials and simulated daily price paths anchored to periodic market levels; figures are illustrative. This document is for educational and demonstration purposes only. It is not investment advice, not a recommendation to buy or sell any security, and is not issued by a SEBI-registered research analyst or by any brokerage or bank. Past performance does not indicate future results.